

SECURITIES AND EXCHANGE BOARD OF INDIA  
CORPORATION FINANCE DEPARTMENT, MUMBAI  
SEBI/HO/CFD/CFD-PoD-1/P/CIR/2024/138

September 14, 2024

SEBI (LODR) Regulations - Timelines for Disclosure of Material Events

1. Regulation 30 Materiality Timelines: Listed entities must disclose material events or information to the stock exchanges within the following strict statutory timelines:

(a) Board Meeting Decisions: Disclosures regarding dividends, financial results, voluntary delisting, buyback, or alteration in capital structure must be made within 30 minutes of the closure of the board meeting.

(b) Events Originating Within the Listed Entity: Any material event originating from within the company (e.g., strikes, lockouts, senior management resignations, acquisition agreements) must be disclosed within 12 hours of occurrence.

(c) Events Originating Outside the Listed Entity: Material events originating outside the company (e.g., regulatory raids, court orders, litigation filings) must be disclosed within 24 hours of the company becoming aware of the event.

2. Quantitative Threshold for Materiality: An event or information shall be treated as objectively material if the financial impact exceeds any of the following quantitative criteria:

(i) two percent of turnover, based on the last audited consolidated financial statements of the listed entity;

(ii) two percent of net worth, based on the last audited consolidated financial statements;

(iii) five percent of the average of absolute value of profit or loss after tax, based on the last three audited consolidated financial

3. Market Rumor Verification: The top 100 listed entities (and from April 1, 2025, the top 250 listed entities) shall confirm, deny, or clarify any market rumors reported in mainstream financial media within 24 hours of publication.

4. Resignation of Key Managerial Personnel: Resignation of the Chief Executive Officer (CEO), Chief Financial Officer (CFO), Company Secretary, or Managing Director must be disclosed to stock exchanges along with the full copy of the resignation letter within twenty-four hours of receipt by the listed entity.
5. Independent Director Resignation Disclosures: The resignation of an Independent Director must be disclosed within seven calendar days. The disclosure must include the detailed reasons provided by the director and a confirmation that there are no other material reasons for the resignation.
6. Delay in Materiality Disclosure: Any delay in disclosing material events beyond the prescribed timelines must be accompanied by a detailed explanation explaining the reasons for the delay.

7. Cyber Security Incident Disclosures: Any cyber security incident or breach or loss of data impacting the operations of the listed entity must be disclosed to the stock exchanges within 24 hours of occurrence. Additionally, details must be included in the quarterly corporate governance report submitted within 21 days of quarter end.

8. Material Contracts with Related Parties: Agreements entered into with related parties or promoters not in the ordinary course of business or not at arm's length must be disclosed within 12 hours.

9. Action Taken by Regulatory Bodies: Any search, seizure, raid, summons, or regulatory enforcement order issued against the entity or its directors by any statutory authority must be disclosed within 24 hours.

Yours faithfully,

(Rajesh Kumar Dangeti)

Chief General Manager